

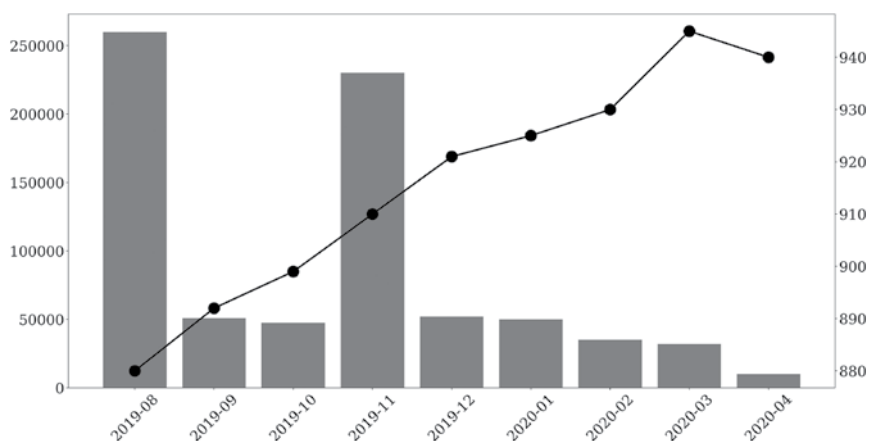


FIGURE 8.1 Term structure in contango.

In this example, you can see that each consecutive point on the curve is a little higher up than the previous one, i.e., contracts are more expensive the longer time there is until they expire. That situation is called contango. The reverse, if each point was to get cheaper, would be called backwardation, which is what you see in Figure 8.2.

The closest contracts tend to be traded fairly close to the underlying asset. The less time left to expiry, the closer the price tends to be. The reason for that is simple. At expiry time, the value of the contract is the same as the

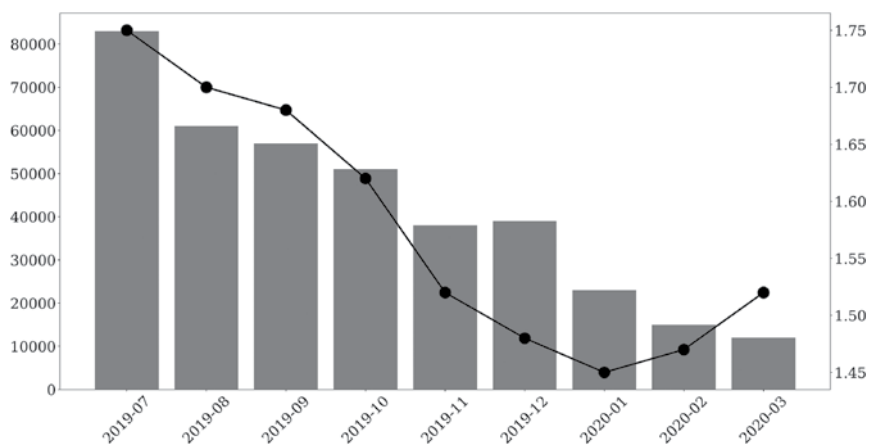


FIGURE 8.2 Gasoline in backwardation.